Queensland Rural and Industry Development Authority

# Queensland Rural Debt Survey 2019

## An overview


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Queensland Government

***Rural Debt** is defined as the total indebtedness of all farmers/rural enterprises throughout Queensland, where the servicing of the rural debt relies primarily on rural generated income.*

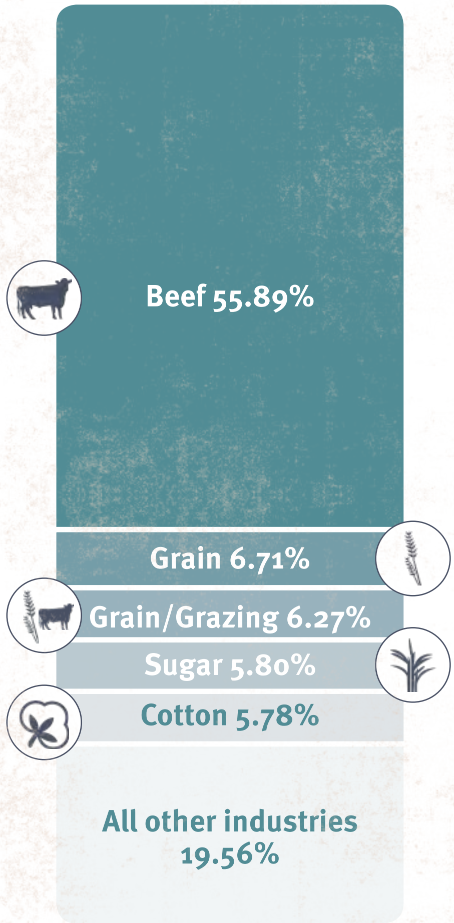
Debt funding has continued to be an important source of funds particularly for working capital, capital infrastructure and investment as captured in the **2019 Queensland Rural Debt Survey**.

The Queensland Rural Debt Survey ascertains the extent, trends, nature and size of the total rural indebtedness in Queensland as at 31 December 2019. The 2019 Survey includes data from the ten major rural lenders in Queensland.

The Queensland Rural Debt Survey has been conducted by the **Queensland Rural and Industry Development Authority (QRIDA)**, since 1994. From 2001 to 2011, the survey was conducted biennially and resumed again in 2017. The 2019 report includes an analysis of the movement in rural debt since the previous 2017 Survey.

For more information see the complete 2019 Queensland Rural Debt Survey report available at **www.qrida.qld.gov.au/rds2019**

## Debt proportion by major industry




## Average debt per borrower

**$1.05 million**

+11.37% compared to 2017 ($0.94m)

## Total debt

**$19.10 billion**

+10.75% compared to 2017 ($17.24b)

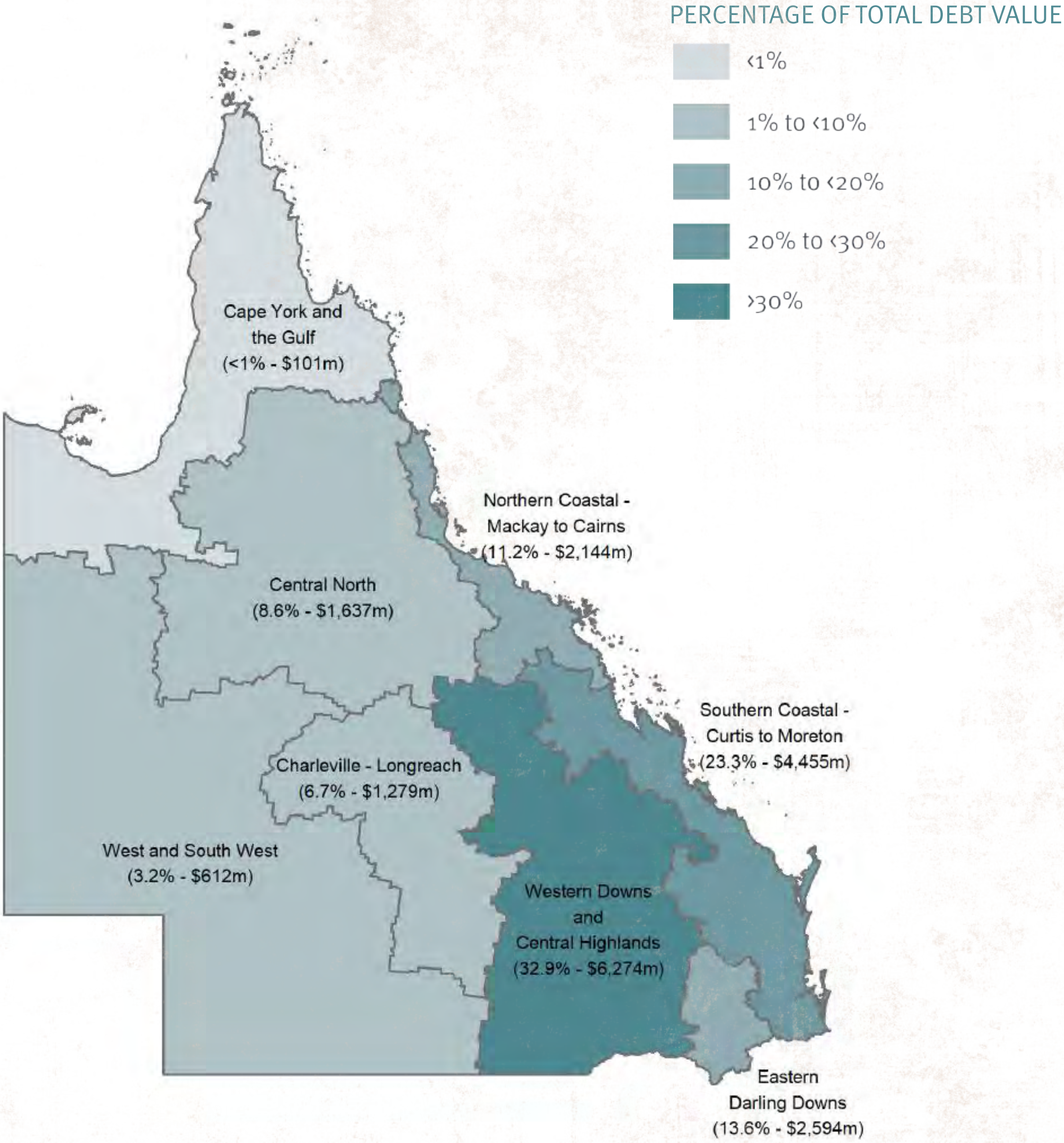
## Number of borrowers

**18,232**

-0.56% compared to 2017 (18,335)

# Total debt by region

| ABARES REGION | 2019 ('000) | PERCENTAGE OF TOTAL |
|---|---:|---:|
| Cape York and the Gulf | $100,922 | 0.53% |
| Central North | $1,636,827 | 8.57% |
| Charleville - Longreach | $1,279,040 | 6.70% |
| Eastern Darling Downs | $2,593,842 | 13.58% |
| Northern Coastal - Mackay to Cairns | $2,144,272 | 11.23% |
| Southern Coastal - Curtis to Moreton | $4,454,940 | 23.33% |
| West and South West | $612,431 | 3.21% |
| Western Downs and Central Highlands | $6,274,059 | 32.85% |
| **Total** | **$19,096,332** | **100%** |




Percentage of Total Rural Debt per ABARES (2016) region is partly a reflection of the industry, size and nature of rural activity in these regions.

## Beef

**Total debt: $10,672m**
**Movement*: ↑14.10%**
**Borrowers: 7,559**

The beef industry is the most significant agricultural industry for Queensland, producing 45 per cent of the nation's meat cattle and calf herd.

The beef industry represents 55.89 per cent of total rural debt in 2019, which is proportional to the size of the industry in Queensland.

Throughout the 2017 to 2019 period, the beef industry experienced prolonged dry periods making environmental conditions tough, added to this was the Monsoon Trough event at the start of 2019 which significantly impeded the northern industry. Beef prices have fluctuated in 2017 to 2019 with a low observed in March 2019 at 385 c/kg cwt and a peak in April 2017 at 688c/kg cwt, which has impacted on returns for beef producers.

The three regions with the highest proportion of beef debt were Western Downs and Central Highlands, Southern Coastal Curtis – Moreton and Central North (totalling $7,566m). These are also some of the largest beef producing regions of Queensland.

The average debt per beef borrower was $1.41m.

## Grain

**Total debt: $1,281m**
**Movement*: ↑37.31%**
**Borrowers: 956**

Grain production and area planted has significantly reduced in Queensland in the past two years, with less than 10 per cent of area of coarse grains and less than 6 per cent of wheat grown in Queensland compared to 2017-18. This is due to the ongoing dry conditions and reduced rainfall leading to a reduction in planting and area harvested for both summer and winter crops. Grain growers represented 6.71 per cent of total rural debt in 2019.

While increasing from 2010 through to 2016-17, farm cash incomes have since slowed as receipts from grain crops have reduced given the reduction in planting and yield.

The Eastern Darling Downs and Western Downs and Central Highlands were the two most indebted grain regions in the 2019 Survey, totalling $1,148m.

The average debt per grain grower was $1.34m.

## Intensive Livestock

**Total debt: $467m**
**Movement*: ↑2.19%**
**Borrowers: 575**

Intensive livestock includes poultry, deer, horse, pig and other farming not elsewhere identified.

Intensive livestock makes up 2.45 per cent of total rural debt in Queensland in 2019, which is a similar proportion to the 2017 Survey.

The intensive livestock industries require significant capital investment, including adequate facilities, stockfeed supplies and labour. The intensive livestock industries must also continually invest in adequate biosecurity measures and practices.

Southern Coastal – Curtis to Moreton has the highest level of intensive livestock debt with $170m followed closely by the Eastern Darling Downs which has intensive livestock debt of $153m.

The average debt per intensive livestock borrower was $0.81m.

## Dairy

**Total debt: $267m**
**Movement*: ↑3.89%**
**Borrowers: 453**

The dairy industry represents 1.40 per cent of the rural debt in the 2019 Survey.

The Queensland dairy herd continues to decrease, with under 85,000 in the herd in 2019. Additionally, the production of whole milk has been declining since the late 1990s and has continued to decline along with the declining herd numbers.

At the end of 2018-19, Queensland produced 356.9 million litres of milk, which is just over 4 per cent of the national total.

The region with the greatest amount of dairy debt was Southern Coastal – Curtis to Moreton at $139m.

The average debt per borrower for dairy was $0.59m.

## Grain/Grazing

**Total debt: $1,197m**
**Movement*: ⬆37.98%**
**Borrowers: 1,060**

The grain/grazing industry comprises sheep and cattle as well as grain enterprise (otherwise known as mixed grain/grazing).

For the 2019 Survey, grain/grazing accounted for 6.27 per cent of total Queensland rural debt. This has been a 37.98 per cent increase since 2017. Looking back however, the grain/grazing debt is returning to similar levels observed in 2011 ($1,161m).

Grain/grazing producers have experienced very reduced cropping incomes (due to decreased production) and lower livestock prices over the period 2017 to 2019.

The region with the highest level of grain/grazing debt was the Western Downs and Central Highlands at $843m.

The average debt per grain/grazing borrower was $1.13m.

## Sugar

**Total debt: $1,107m**
**Movement*: ⬆6.68%**
**Borrowers: 1,984**

In 2019, 96.06 per cent of Australia's sugarcane crop was produced in Queensland, with 350,082 hectares under sugarcane production. This was a significant production decline on previous years which, combined with low prices, meant cane producers had a challenging year and a reduction in overall returns. Sugarcane represents 5.80 per cent of Queensland's total rural debt in 2019.

In 2019, 28m tonnes of cane was crushed, which is a 6.7 per cent reduction from the previous year.

The region with the greatest amount of sugar debt was Northern Coastal – Mackay to Cairns, with a debt level of $986m. This region covers a large coastal area and is where the vast majority of sugarcane is produced in Queensland.

The average debt per sugar borrower was $0.56m.

## Marine

**Total debt: $170m**
**Movement*: ⬆91.23%**
**Borrowers: 409**

Marine includes fishing, rock lobster and crab potting, prawn fishing, line fishing, fish trawling and netting.

The marine fishing industry increased 91.23 per cent between 2017 and 2019, however the debt levels in 2019 are closer to that in 2011, where it was $141m. The marine industry represents 0.89 per cent of total rural debt in Queensland for 2019.

The region with the greatest amount of marine fishing debt was Southern Coastal – Curtis to Moreton at $90m.

The average debt per marine fishing borrower was $0.42m.

## Sheep/Wool

**Total debt: $153m**
**Movement*: ⬆16.26%**
**Borrowers: 246**

Sheep debt has been increasing since 2011, with an increase of 36.12 observed between 2011 and 2017 and a further increase of 16.26 per cent between 2017 and 2019. However, the share of sheep debt comparatively is small.

The sheep/wool industry represents 0.80 per cent of total rural debt for Queensland in 2019.

Commentators suggest that sheep debt has been increasing mainly due to investment in capital infrastructure such as fencing to assist with wild dog control. Sheep numbers have been steadily increasing since 2015, however have not seen significant increases due to the ongoing drought conditions, even though prices have been more favourable through the 2017 to 2019 period.

The region with the greatest amount of sheep/wool debt was Charleville – Longreach at $51m followed by Western Downs and Central Highlands at $48m.

The average debt per sheep/wool borrower was $0.62m.

# Cotton

**Total debt: $1,103m**
**Movement*: ⬇17.20%**
**Borrowers: 371**

Queensland usually grows one third of the Australian cotton crop, however given the sustained dry periods and lack of rainfall, the crop production in the last two years has been significantly reduced with over 60,000 hectares planted for the 2019-20 crop. The cotton industry represents 5.78 per cent of total Queensland rural debt in 2019.

There have been no dryland cotton crops planted in the 2019-20 year due to lack of soil moisture prior to planting combined with low rainfall. Whilst the drought has significantly affected the cotton industry in Queensland, the 17.20 per cent decrease in debt since the 2017 Survey may be a reflection of the reduced area of planting (and reduced production costs) and the market price holding which has seen the return per bale increasing.

The Western Downs and Central Highlands region had the highest proportion of cotton debt, at $685m. This region, along with the Eastern Darling Downs, encompasses the majority of the cotton producing areas in Queensland.

The average debt per cotton borrower was $2.97m.

# Tree Crops & Vegetables

**Total debt: $852m (TC) $537m (V)**
**Movement*: ⬆26.82% (TC) ⬆2.66% (V)**
**Borrowers: 958 (TC) 558 (V)**

Tree crops, comprising fruit and tree nut growing, represents 4.46 per cent of total Queensland rural debt in the 2017 Survey. Vegetables made up 2.81 per cent of total rural debt in Queensland in 2019.

Prices (and therefore returns) have fluctuated significantly in the vegetable and tree crop market. This, combined with reduced water availability and low rainfall, has made conditions for consistent production difficult and resulted in a reduced planting area. Additionally, some of the main vegetable and tree crops regions experienced spontaneous natural disasters which affected crop production and yields in the 2017 to 2019 period.

The Southern Coastal – Curtis to Moreton region had the greatest horticulture debt with a value of $409m for tree crops and $328m for vegetables.

The average debt per tree crop borrower was $0.89m and vegetables $0.96m.

# Aquaculture

**Total debt: $18m**
**Movement*: ⬇54.56%**
**Borrowers: 55**

Aquaculture comprises both offshore caged aquaculture and onshore aquaculture.

Aquaculture industry debt decreased by 54.56 per cent between 2017 and 2019, with the share of aquaculture debt being just 0.10 per cent of total rural debt for Queensland.

The region with the greatest amount of aquaculture debt was Southern Coastal – Curtis to Moreton at $13m.

The average debt per aquaculture borrower was $0.33m.

# Various

## Forestry and Logging

**Total Debt: $58m**
**Borrowers: 189**

## Services to Agriculture

**Total Debt: $806m**
**Borrowers: 2,069**

## Hunting and Trapping

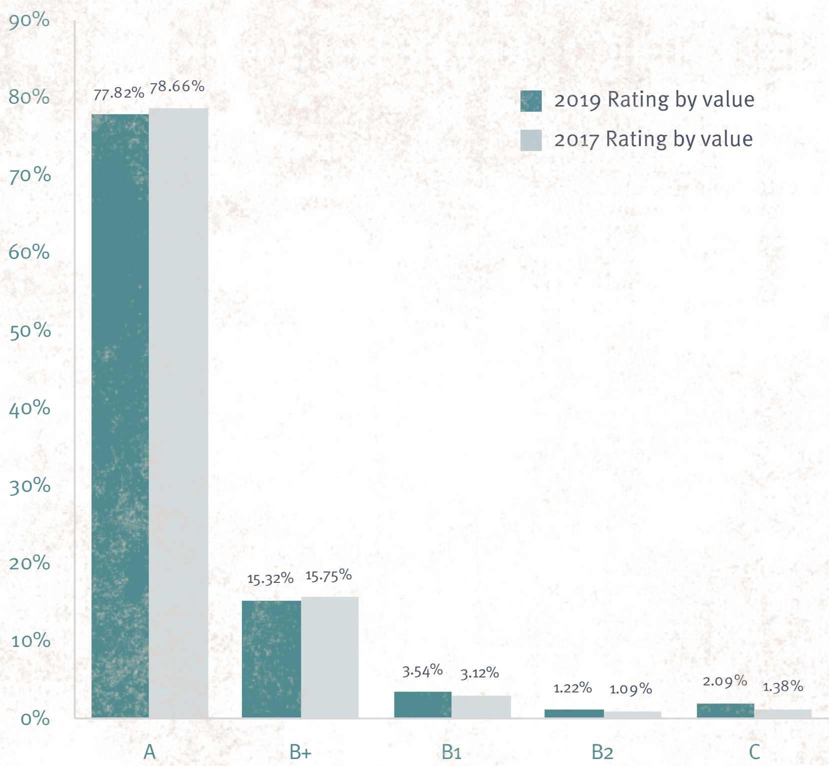
**Total Debt: $4m**
**Borrowers: 32**

## Other

**Total Debt: $403m**
**Borrowers: 1,093**

*Movement in debt 2017-2019
Please note some borrowers had debt across several industries

# Risk profile by value




**93.15%**

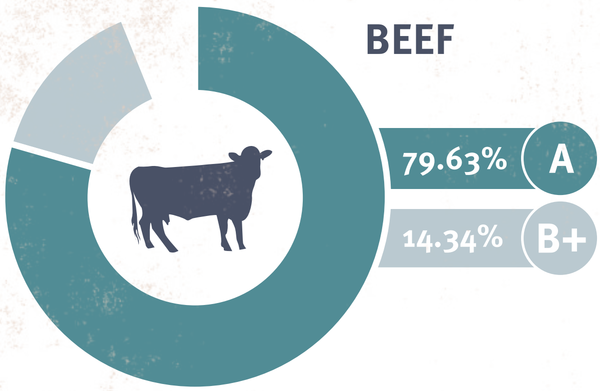
of total rural debt is viable (A) and potentially viable long-term (B+) rated debt

RISK CATEGORIES

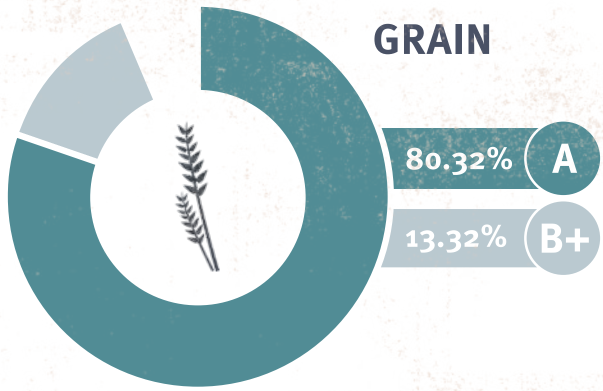
| | |
|---|---|
| **A** | Considered viable under most/all circumstances |
| **B+** | Experienced debt servicing difficulties under present circumstances – potentially viable long term |
| **B1** | Experiencing debt servicing difficulties under present circumstances – debt situation deteriorating and in danger of becoming non-viable will continue to receive support of lender (top 50% of category) |
| **B2** | Experiencing debt servicing difficulties under present circumstances – debt situation deteriorating and in danger of becoming non-viable (bottom 50% of category) |
| **C** | Considered non-viable |

# Industry by debt rating

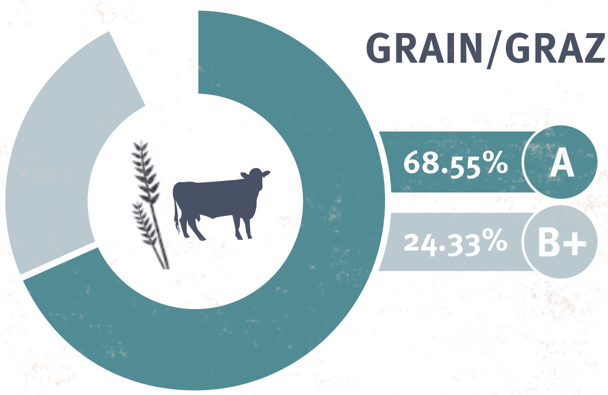
## BEEF



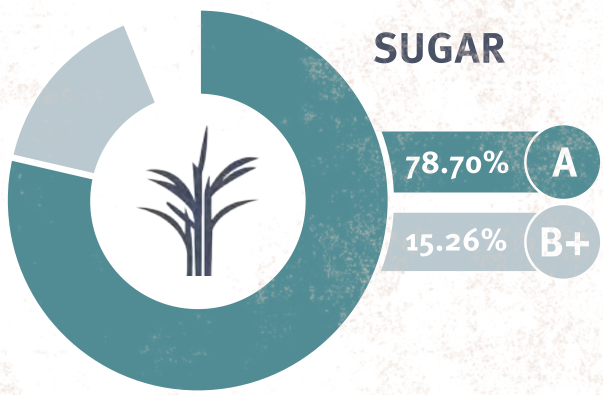

## GRAIN




## GRAIN/GRAZING




## SUGAR



## WITH THANKS

The Queensland Rural and Industry Development Authority (QRIDA) undertook the 2019 Queensland Rural Debt Survey in collaboration with the Queensland Government Statistician's Office (QGSO) and with the support of all the major rural lending institutions in Queensland. Additional assistance was provided by other government agencies and agricultural industry associations.

**MORE INFORMATION:**

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